

their deaths until 2010 so their heirs could reap the windfall.²³ Serious academic studies show that people do time deaths to avoid taxes, either postponing or hastening death.²⁴ (Deaths are *elastic* with respect to taxes.) While death and taxes are both inevitable, people evidently do exercise some control over the one to minimize the other.

4.6. ARE INVESTORS TAX EFFICIENT?

No.

Tax-efficient allocation implies that we should see investors hold heavily taxed assets (corporate bonds and Treasuries) in tax-deferred accounts and lightly taxed assets (stocks) in taxable accounts. But investors generally don't do this. Poterba and Samwick (2002), Bergstresser and Poterba (2004), and others find that asset allocations in taxable and tax-deferred accounts are very similar. More than one-third of U.S. investors could cut their taxes by shifting heavily taxed assets to tax-deferred accounts and vice versa. The data show that wealthier households (and these are more heavily taxed) are more tax-efficient but not as tax efficient as they should be.

The Constantinides tax timing options imply that investors should be ready to realize losses and defer gains. Investors tend to do the opposite. Barber and Odean (2003) find that investors realize gains far more than they realize losses. They also locate large amounts of bonds in taxable accounts. Barber and Odean also find investors are far from being fully tax efficient.

An important question for many individual investors is whether they should allocate savings to paying off a mortgage early or to contribute to a tax-deferred account. Both are tax advantaged: the mortgage interest payment is tax deductible, and the pension saving is tax-exempt. Where should a household put that extra \$1: paying off the mortgage or saving in a pension? According to Amromin, Huang, and Sialm (2007), the answer is that, assuming you have a low (optimally refinanced) mortgage interest rate, you should not pay off the mortgage early; instead, contribute to the pension. You maintain the benefit of the mortgage tax deduction and allow the pension to earn the pre-tax return (see equation (12.6)). Most households do the opposite, possibly because they are reluctant to participate in markets as lenders or borrowers; Shakespeare's adage "neither a borrower nor a lender be" costs them money.

Hopefully after reading this chapter, your investment portfolio will become more tax efficient.

²³ Saunders, L., "Rich Cling to Life to Beat Tax Man," *Wall Street Journal*, December 30, 2009.

²⁴ See Kopczuk and Slemrod (2003) and Gans and Leigh (2006).